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How To Structure A Construction Contract: A Guide For Every Type Of Owner

DRAFT · MAXWEBERMAN.COM/BLOG/CONTRACTS-STRUCTURE

Every construction project comes down to three things: cost, time, and quality. That's true for a kitchen remodel, a restaurant build-out, a tenant improvement, or a spec home. The owner and the builder want the same result: quality work, on budget, on schedule.

Then the job starts, and something unexpected turns up. That's when the contract matters. A good contract structure keeps both sides pulling in the same direction when things get hard. A bad one turns every surprise into an argument.

This guide covers the common contract structures, who each one fits, and the safeguards every deal should have, whether you're a homeowner, a restaurant owner, a commercial tenant, or a developer.

This article is general information, not legal advice. Have an attorney review any construction contract before you sign it.

Start With What Matters Most To You

Different owners carry different risks. The right contract starts with yours.

- **Homeowners:** Budget certainty and quality. You're living with the result, and often living in the house during the work.
- **Restaurant owners:** The opening date. Every week the doors stay closed is lost revenue and rent paid on an empty space. You're also managing a landlord work letter and any tenant improvement (TI) allowance, health and liquor permits, and long lead times on kitchen equipment.
- **Commercial tenants and clients:** Landlord approvals, phasing, and keeping the business running while work happens around it.
- **Developers and investors:** The pro forma. You're watching lender draws, your lender's requirements (often a guaranteed maximum price), and carrying costs that climb with every month the schedule slips.

Keep your top priority in mind as you read the options below.

The Main Contract Structures

Fixed Price (Lump Sum)

The owner and contractor agree on one price for a defined scope of work.

- **The appeal:** Clarity. You know what the project should cost before it starts.
- **The catch:** The contractor's profit is whatever is left after costs. That can push a contractor to cut corners to protect margin, especially if the job was underbid.
- **Where it breaks down:** Disputes over change orders and what was or wasn't in the scope. Final payments are often contested.
- **Best fit:** Smaller, well-defined projects with complete drawings and few unknowns.

Cost Plus Percentage

The owner pays the actual cost of the work plus a percentage for the contractor's overhead and profit.

- **The appeal:** Open books. You see real costs, and you may benefit from the contractor's trade pricing.
- **Teamwork:** The contractor's margin isn't at risk, so they act more like a team member than an opponent.
- **The catch:** The contractor earns more when the project costs more. That can lead to upselling and less pressure to control costs.
- **Best fit:** Small jobs or repairs where scope is hard to define up front, with an owner who trusts the contractor and watches costs.

Cost Plus A Flat Management Fee

The owner pays the actual cost of the work plus a fixed fee for construction management. This is how I work: a flat construction-management fee, with every cost passed through at cost.

- **Best alignment:** My fee doesn't go up when costs go up. I have no reason to inflate the budget, and every reason to bring the job in on budget.
- **Shared interest in speed:** A longer schedule means my fixed fee covers more months of work. We both want the job finished on time.
- **Real numbers:** Costs come from real subcontractor bids, and you see them. That makes value engineering a joint effort: we look at the bids together and decide where to spend and where to save.
- **Reputation:** Bringing jobs in on budget is what earns referrals and repeat clients.
- **Best fit:** Larger or more complex projects: custom homes, restaurant build-outs, and commercial work where the scope will change as decisions get made.

Cost Plus Fee With A Guaranteed Maximum Price (GMP)

This is the cost-plus-fee structure with a ceiling. The owner pays actual costs plus the fee, up to an agreed maximum. Costs above the GMP are the contractor's responsibility unless the scope changes. Many GMP

contracts also include a **shared-savings clause:** if the final cost comes in under the GMP, the savings are split between owner and contractor on terms set in the contract.

- **Why it matters:** It fixes the biggest weakness of cost-plus (no price ceiling) while keeping the open books.
- **Who asks for it:** Lenders and commercial and development clients often expect a GMP.
- **The trade-off:** A GMP needs well-developed drawings to price accurately. The contractor carries more risk, so expect a contingency built into the GMP. Be clear about what counts as a scope change versus a cost the contractor absorbs.
- **Best fit:** Financed projects, development work, and commercial build-outs where the owner or lender needs a cap.

Construction Management And Owner's Rep Agreements

Not every project needs a general contractor's agreement. Commercial clients and developers sometimes hire a construction manager or owner's representative instead.

- **Construction manager (CM):** Manages bidding, scheduling, subcontractors, and cost control for a fee. Depending on the agreement, the CM may hold the trade contracts or the owner may sign with each trade directly.
- **Owner's rep:** Works only for the owner. They review budgets, bids, schedules, pay applications, and change orders, and protect the owner's interests with the contractor, architect, and landlord.
- **Best fit:** Owners running multiple projects or sites, owners who want an independent check on their builder, and developers who want an experienced builder on their side of the table.

The Honest Downsides Of A Flat Fee

I recommend cost plus a flat fee for most complex work, but it isn't free of risk. You should know the trade-offs going in.

- **You carry the cost risk.** Without a GMP, there's no ceiling. If material prices rise or hidden conditions turn up, the owner pays the actual cost.
- **It only works with open books.** You need full access to invoices, sub bids, and payments, and the right to audit them. Get that in writing.
- **The fee has to be defined.** The contract should say what the fee covers, what's billed as a cost (site supervision, insurance, cleanup, temporary facilities), and how the fee changes if the scope grows or shrinks significantly.
- **It takes your attention.** Open books only help if you review them. Expect regular cost reports and decisions on value-engineering options.

How Lender Draws And Retainage Work

If your project is financed, the lender pays the contractor in stages, called draws, rather than all at once. Expect the following:

- **Draw packages:** Each draw request typically includes a progress summary, invoices, and lien waivers from the contractor and subs. Many lenders also send an inspector to confirm the work is in place before releasing funds.
- **Retainage:** A portion of each payment is held back until the work is complete. Agree in the contract on the amount, when it's released, and what triggers release.
- **Cost reporting:** Lenders want to see budget versus actual, line by line, with contingency use tracked. Open-book contracts make this straightforward because the numbers already exist.

A builder who handles draw administration well keeps the money moving and the schedule on track. One who doesn't can stall a job waiting on funds.

Safeguards Every Contract Should Have

Whatever the structure and whoever the owner, these protect both sides:

- **Allowances:** Set realistic allowances for items not yet selected (fixtures, finishes, equipment), and state how overages and savings are handled.
- **Change-order process:** Every change is written, priced, and signed before the work is done, with its effect on schedule stated.
- **Contingency:** A defined contingency for unknowns, with clear rules on who can use it and how it's reported.
- **Schedule milestones:** Key dates in writing. For restaurant openings and other date-driven projects, discuss liquidated damages or other schedule remedies with your attorney.
- **Payment terms and lien waivers:** A clear payment schedule tied to completed work, with lien waivers collected from the contractor and subcontractors as payments go out.
- **Site standards:** Expectations for cleanliness, safety, working hours, and protection of occupied spaces. I keep my jobsites clean, and I put it in writing.

Illustrative Examples By Client Type

These are illustrative scenarios, not real projects or real numbers.

- **Homeowner, kitchen remodel:** The layout and selections are mostly set, but the walls haven't been opened. Cost plus a flat fee with clear allowances for cabinets and fixtures gives open pricing and room to adjust when hidden conditions turn up. If the job is small and fully defined, a fixed price can work too.

- **Restaurant owner, build-out in a leased space:** The opening date drives everything. Cost plus a flat fee, or a GMP if the drawings are complete, with schedule milestones, equipment lead times tracked from day one, and the landlord's work letter and TI allowance built into the budget.
- **Commercial tenant, office or retail improvement:** The business must keep operating. A phased schedule, landlord approvals in the plan, and either cost plus fee or a CM agreement so the tenant sees real costs.
- **Developer or investor, spec or development home:** The lender wants a cap and clean draws. Cost plus fee with a GMP and shared savings, retainage terms agreed with the lender, and monthly budget-versus-actual reporting.

Comparison At A Glance

	Fixed Price	Cost Plus Percentage	Cost Plus Flat Fee	Cost Plus Fee With GMP	CM / Owner's Rep
Who carries cost risk	Contractor (within scope)	Owner	Owner	Shared; contractor above the cap	Owner
Price certainty	High at signing	Low	Low to medium	High	Depends on trade contracts
Open books	Usually no	Yes	Yes	Yes	Yes
Contractor's profit when costs rise	Goes down	Goes up	Stays the same	Stays the same, then at risk above the cap	Fee-based
Change-order friction	High	Low	Low	Medium	Low to medium
Best fit	Small, fully defined jobs	Small or hard-to-scope work	Complex custom homes, build-outs, commercial	Financed, development, and commercial work	Multi-site owners, developers, owners who want independent oversight

Conclusion

Every structure has trade-offs. For most complex projects, cost plus a flat management fee lines up the owner's and contractor's incentives best. Add a GMP when you or your lender need a ceiling. Then back any structure with the safeguards above.

The right contract builds trust between owners and contractors, and trust is what gets a project finished on budget and on time.

This article is general information, not legal advice. Have an attorney review any construction contract before you sign it.

Understanding Actual Cash Value And Replacement Cost Value In Property Insurance Claims

DRAFT · MAXWEBERMAN.COM/BLOG/INSURANCE-CLAIMS-VALUE

If you're filing a property insurance claim, you need to understand two terms: Actual Cash Value (ACV) and Replacement Cost Value (RCV). The difference between them comes down to depreciation, and it can change how much you're paid. This article explains each term and how depreciation affects your claim.

Every policy is different. This article explains general concepts, not the terms of your policy, and it isn't legal advice. Read your policy and ask your carrier or a licensed professional how it applies to your claim.

Definitions

- **Replacement Cost Value (RCV):** The full cost to replace damaged or stolen property.
- **Actual Cash Value (ACV):** The replacement cost of the property minus depreciation at the time of the loss.
- **Depreciation:** The loss in value of an item over time from age and wear and tear.

Understanding Depreciation

Say you bought a new Tesla Model 3 for $40,000. A year later, you trade it in for a Model S. Would you expect $40,000 for the trade-in? No. The car has lost value over that year.

The parts of your home work the same way. Cabinets, flooring, siding, roofing, and paint all lose value over time.

Insurance Claim Example

Say you spent $30,000 building a garage in your backyard, and you expect it to last 30 years. Ten years later, a storm drops a tree on it and destroys it. You're not sure you'll rebuild. Does that matter?

After ten years, the garage has depreciated by $10,000, so its ACV is $20,000. The cost to replace it, its RCV, is still $30,000. (To keep it simple, this example ignores changes in construction costs over those ten years.)

Under a typical replacement cost policy:

- **If you don't rebuild,** insurance covers the ACV: $20,000 (RCV minus depreciation).
- **If you rebuild,** you're covered for the RCV: $30,000.

Policies Vary

How this plays out depends on your policy. Points worth checking:

- **ACV-only vs. replacement cost coverage:** Some policies pay only ACV, even if you rebuild.
- **Recoverable depreciation:** Some replacement cost policies pay ACV first and release the depreciation after the repair or replacement is complete.
- **Deadlines:** Some policies set a time limit to complete repairs or claim the withheld depreciation.
- **Limits and exclusions:** Coverage limits, deductibles, and exclusions can all change the final number.

Read the policy, and ask your carrier to explain anything that's unclear before you decide whether to rebuild.

Calculating Depreciation

Insurance adjusters often use industry software such as Xactimate to calculate depreciation. Depreciation figures can be negotiated. That matters most when the damaged property won't be replaced, because then the ACV is what you're paid, and lower depreciation means a higher payment.

Conclusion

Know the difference between ACV and RCV before you settle a property claim. Depreciation has a large effect on what you receive, and negotiating it can change your payout. Knowing how it works, and what your policy says, helps you make better decisions and protect your property.

For more on getting a fair claim, see Filing A Property Insurance Claim? Three Things That Decide Your Payout.

Filing A Property Insurance Claim? Three Things That Decide Your Payout

DRAFT · MAXWEBERMAN.COM/BLOG/PUBLIC-ADJUSTERS-PILLARS

When your home or building is damaged, the insurance claim decides how well it gets put back together. A fair payout depends on three things: a full understanding of the building process, a correct Xactimate estimate, and a close reading of your policy.

You don't have to master all three yourself. You should know what they are, so you can tell whether your claim is being handled right and who you need on your side. That might be a contractor who knows insurance work, a licensed public adjuster, or both.

This article is general information, not legal advice. Policies differ, and so do the rules on who can represent you in a claim. Read your policy and check with your carrier or a licensed professional.

1. The Building Process: Every Step Counts

A contractor's quote often lumps many steps into one line. Take "replace moldy drywall." On a claim, that one line should be broken into every step it takes to do the work:

- Mask off surfaces and the room
- Remove the damaged drywall
- Remove the baseboard and casing
- Supply and install new drywall
- Tape, mud, and finish the new drywall
- Prime and paint the new drywall
- Install new baseboard and casing
- Paint the baseboard and casing
- Clean the area and haul away debris

Every step costs money. If a step is missing from the estimate, it's missing from your payout. Someone who knows how the work is actually built will catch what's been left out.

What to do: Ask for an itemized estimate, not a lump sum. Walk through it line by line and ask about anything that seems missing.

2. Xactimate: The Software Behind Your Estimate

Insurance claims run on software. On property claims, the industry standard is Xactimate. It's a detailed construction pricing tool, and adjusters use it to price a claim by itemizing the scope of damage.

That means your claim is usually being priced line by line in Xactimate. If your contractor or adjuster can work in the same system, they can compare estimates with the carrier's adjuster item by item and point to exactly what's missing or underpriced. That makes for a clearer, faster conversation and a more complete estimate.

What to do: Ask the carrier for a copy of its estimate. Ask whether your contractor or adjuster works in Xactimate and can respond in the same format.

3. Your Policy: Know What You're Covered For

The policy sets the limits and conditions of your coverage, and the details matter. Questions to ask early:

- If you have to move out during repairs, does the policy cover rent or other living expenses?
- If you own a business, does it cover lost income while you're closed?
- If the city requires code upgrades during the repair, are those covered?
- Is your coverage replacement cost or actual cash value? (See Understanding Actual Cash Value And Replacement Cost Value.)

Missing a detail in the policy can mean leaving money on the table, or making a mistake that hurts your claim. Reading it closely, or having someone who knows policies read it with you, helps you get what you're entitled to.

What to do: Get a full copy of your policy, including endorsements. Note the coverages, limits, deadlines, and duties after a loss.

Conclusion

A fair claim comes down to three things: knowing how the work gets built, pricing it correctly in Xactimate, and knowing what your policy covers. Get those right, or work with people who have, and you give yourself the best chance at a payout that fully restores your property.

Ordering Kitchen Cabinetry: Where To Begin

DRAFT · MAXWEBERMAN.COM/BLOG/KITCHEN-CABINETRY

Designing and ordering kitchen cabinetry can be overwhelming. Today you can customize nearly every part of your cabinets, and all those choices make it hard to know where to start. Prices vary widely too, which makes it hard to tell whether you're getting a fair deal.

Below, I'll (slightly) demystify the process by breaking down the key parts of a cabinet and offering practical suggestions. With the basics and a clear direction, you'll be ready to make informed decisions.

PHOTO
Finished custom kitchen from the portfolio, wide shot showing the full cabinet run

Cabinet Components

Door Selection

- **Door Style:** Door style is one of the biggest factors in both the look and the price of your cabinets. Some styles can double or even triple the cost. Styles range from sleek and minimal to highly detailed. Overlay (partial vs. full) also affects price.
- **Material Options:** When choosing a material, consider density, grain pattern, color tone, and local availability. In metro Detroit, maple strikes a good balance between price and quality, though oak, cherry, alder, and hickory are also available. High-quality engineered wood exists, but it can't quite match the natural beauty of solid wood.

PHOTO
Close-up of a simple full-overlay door in stained maple

Frame/Shell

How your cabinets are built plays a large role in how long they last. Many cabinet lines offer upgraded construction, but cost is always a concern. I recommend putting those upgrades on cabinets with exposed ends or backs, such as islands and peninsulas.

PHOTO
Island or peninsula showing a finished exposed end or back

Finish (Stain vs. Paint)

Stained cabinetry made from high-quality wood has a timeless beauty. Stained wood is also often easier to work with and easier to restore as the finish fades over the years. Some owners still prefer painted cabinetry, mainly for its look. Painted cabinets typically cost about 10%–15% more.

PHOTO
Side-by-side of stained and painted cabinetry, if available

Storage and Accessories

- **Drawer Construction:** For strong, reliable drawers, I highly recommend dovetail construction over stapled drawers. Drawers get used constantly, so they need to stand up to daily wear and tear.
- **Inserts:** There's a wide range of cabinet inserts that make for excellent storage, but they can be costly. Examples include cutlery dividers, sink-base liners, and pull-outs.
- **Hinges:** Slow-close hinges on all doors and drawers are well worth the cost. They prevent slamming and add a touch of luxury.
- **Moldings and Fillers:** A well-designed layout usually includes finishing pieces like filler strips, crown molding, and other trim. These add to the cost, especially with painted cabinetry.

PHOTO
Open dovetail drawer, or a pull-out insert in use

Practical Suggestions

- **Cost-Conscious Door Selection:** Choose a simple, timeless full-overlay door. It looks high-end and helps control cost.
- **Local Upgraded Wood:** Choose a locally available wood that's a step up in quality, such as maple here in metro Detroit. Skip premium exotic woods to keep the budget reasonable.
- **Selective Frame Upgrades:** Save frame upgrades for highly exposed cabinets, such as the ends of islands and peninsulas. You get durability where it counts without paying for it everywhere.
- **Prioritize Stained Cabinetry:** Painted cabinetry costs more, adds complexity during installation, and may not last as long as stained cabinetry. Stained wood is timeless and easier to work with and maintain over the long run.
- **Durable Drawer Construction:** Make sure your drawers use dovetail joinery. It's strong and holds up to frequent, everyday use.
- **Simplify Molding Options:** Avoid complex moldings such as multi-piece crown or scribe moldings, and limit extra trim pieces. These specialty pieces are costly, and the labor to install them adds even more.

PHOTO

Finished kitchen with simple crown molding and clean lines

Use these tips and you'll strike the right balance of function, durability, looks, and budget in your kitchen cabinetry.